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Q#1 In the Solow growth model with technological growth rate, $y = Y / (L \times E)$ shows-----per effective worker.

Options:

- A. Capital
- B. Output
- C. Labor
- D. Technology

Correct Option: B

Page Number(s): 65

Ref Sentence by VU Stars: Notations: $y = Y / LE$ = output per effective worker

Q#2 In the endogenous growth model, the assumption of -----return to capital is more plausible.

Options:

- A. constant
- B. decreasing
- C. zero
- D. increasing

Correct Option: A

Page Number(s): 69

Ref Sentence by VU Stars: In the endogenous growth model, the assumption of constant returns to capital is more plausible.

Q#3 Due to a negative demand shock, aggregate demand curve will:

Options:

- A. Shift towards right.
- B. Remain the same.
- C. Shift towards left.
- D. Become vertical.

Correct Option: C

Page Number(s): 75

Ref Sentence by VU Stars: THE EFFECTS OF A NEGATIVE DEMAND SHOCK... The shock shifts AD left, causing output and employment to fall in the short run.

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Q#4 In the solow model with technological progress, the steady state growth rate of output per worker is -----

Options:

- A. $n + g$.
- B. One.
- C. G .
- D. Zero.

Correct Option: C

Page Number(s): 65

Ref Sentence by VU Stars: Variable...Output per worker (Y/L) = $y \times E$...Steady-Steady growth rate... G

Q#5 The aggregate demand curve shows the relationship between the price level and the:

Options:

- A. Investment.
- B. Quantity of output supplied.
- C. Income.
- D. Quantity of output demanded.

Correct Option: D

Page Number(s): 71

Ref Sentence by VU Stars: The aggregate demand curve shows the relationship between the price level and the quantity of output demanded.

Q#6 The two important factors of production are-----

Options:

- A. Land and goods.
- B. Labor and capital.
- C. Labor and electricity.
- D. Machine and investment.

Correct Option: B

Page Number(s): 18

Ref Sentence by VU Stars: FACTORS OF PRODUCTION: K = capital, tools, machines, and structures used in production; L = labor, the physical and mental efforts of workers

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Q#7 With no population growth, the steady-state level of capital per worker will increase whenever the ----- rate -----

Options:

- A. Saving; decreases.
- B. Consumption; decreases.
- C. Tax; increases.
- D. Saving; increases.

Correct Option: D

Page Number(s): 59

Ref Sentence by VU Stars: An increase in the saving rate raises investment causing the capital stock to grow toward a new steady state... Higher $s \Rightarrow$ higher k^*

Q#8 The liquidity preference theory is presented by -----

Options:

- A. Johan Maynard Keynes.
- B. Fisher.
- C. Milton.
- D. Adam smith.

Correct Option: A

Page Number(s): 84

Ref Sentence by VU Stars: THE THEORY OF LIQUIDITY PREFERENCE: John Maynard Keynes presented a simple theory in which the interest rate is determined by money supply and money demand.

Q#9 In macro-economics the word aggregate means-----

Options:

- A. Individual.
- B. One.
- C. Particular.
- D. Totals.

Correct Option: D

Page Number(s): Not found in Handout

Correct Option: D (Google)

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Q#10 The LM curve is -----

Options:

- A. Vertical.
- B. Horizontal.
- C. Negatively sloped.
- D. Positively sloped.

Correct Option: D

Page Number(s): 85

Ref Sentence by VU Stars: LM CURVE'S SLOPE: The LM curve is positively sloped.

Q#11 If marginal propensity to consume (MPC) is 0.7, the government purchases multiplier is-----

Options:

- A. $1/0.7$.
- B. $1-0.7/-0.7$.
- C. $0.7/0.7$.
- D. $1/0.3$.

Correct Option: D

Page Number(s): 81

Ref Sentence by VU Stars: THE GOVERNMENT PURCHASES MULTIPLIER... $\Delta Y/\Delta G = 1 / (1 - MPC)$.

If $MPC = 0.8$, $\Delta Y/\Delta G = 1 / 0.2 = 5$. Therefore, if $MPC = 0.7$, multiplier = $1/(1 - 0.7) = 1/0.3$.

Q#12 Nominal exchange rate is denoted by-----

Options:

- A. r.
- B. P.
- C. E.
- D. e.

Correct Option: D

Page Number(s): 42

Ref Sentence by VU Stars: e = nominal exchange rate, the relative price of domestic currency in terms of foreign currency

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Q#13 In Solow growth model, the slope of production function $f(k)$ is:

Options:

- A. Labor (L).
- B. Capital (K).
- C. Investment (I).
- D. Marginal product of capital (MPK).

Correct Option: D

Page Number(s): 54

Ref Sentence by VU Stars: Note: this production function exhibits diminishing MPK. $MPK = f(k+1) - f(k)$.
The slope of the production function equals MPK.

Q#14 According to the prediction of Solow model, countries with higher population growth rates will have:

Options:

- A. Higher levels of capital and income per worker in the long run.
- B. Lower levels of investment and income in the short run.
- C. Lower levels of capital and income per worker in the long run.
- D. Higher levels of capital and birth rate in the short run.

Correct Option: C

Page Number(s): 64

Ref Sentence by VU Stars: PREDICTION: Higher $n \Rightarrow$ lower k , and since $y = f(k)$, lower $k \Rightarrow$ lower y^* .

Thus, the Solow model predicts that countries with higher population growth rates will have lower levels of capital and income per worker in the long run.

Q#15 In IS-LM framework, an expansionary fiscal policy shifts-----curve to the -----

Options:

- A. LM; right.
- B. IS; left.
- C. IS; right.
- D. LM; left.

Correct Option: C

Page Number(s): 83

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Ref Sentence by VU Stars: SHIFTING THE IS CURVE: $\Delta G \dots$ At any value of r , $\uparrow G \Rightarrow \uparrow E \Rightarrow \uparrow Y \dots$ so the IS curve shifts to the right.

Q#16 In the Solow growth model with technological growth rate, $L \times E$ shows the number of effective--

Options:

- A. Saving per worker.
- B. Workers.
- C. Output per worker.
- D. Capital per worker.

Correct Option: B

Page Number(s): 65

Ref Sentence by VU Stars: Where $L \times E$ = the number of effective workers.

Q#17 An expansionary monetary policy -----

Options:

- A. Reduces the interest rate.
- B. Shifts the LM curve to the left.
- C. Decreases real output.
- D. Shifts IS curve to left.

Correct Option: A

Page Number(s): 88

Ref Sentence by VU Stars: MONETARY POLICY: AN INCREASE IN $M \dots$ 1. $\Delta M > 0$ shifts the LM curve down (or to the right). 2. Causing the interest rate to fall.

Q#18 In Solow model; production functions shows labor augmenting technological progress. Y is equal to:

Options:

- A. $F(K, L + E)$
- B. $F(K+1, L + K)$
- C. $F(K+1, L+1 + E+1)$
- D. $F(K, L \times E)$

Correct Option: D

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Page Number(s): 65

Ref Sentence by VU Stars: We now write the production function as: $Y = F (K, L \times E)$

Q#19 IS* curve shows the negative relationship between nominal exchange rate and -----

Options:

- A. Price level.
- B. Real exchange rate.
- C. Output level.
- D. Interest rate.

Correct Option: C

Page Number(s): 96

Ref Sentence by VU Stars: The IS* curve is drawn for a given value of r^* . Intuition for the slope: $\downarrow e \Rightarrow \uparrow NX \Rightarrow \uparrow Y$

Q#20 Which of the following is NOT the policy to increase the saving rate?

Options:

- A. Decrease incentives for private saving.
- B. Increase incentives for private saving.
- C. Replace federal income tax with a consumption tax.
- D. Reduce the government budget deficit.

Correct Option: A

Page Number(s): 68

Ref Sentence by VU Stars: POLICIES TO INCREASE THE SAVING RATE: Reduce the government budget deficit... Increase incentives for private saving... Replace federal income tax with a consumption tax... Expand tax incentives...

Q#21 Monetary policy is -----on output under -----exchange rate.

Options:

- A. Totally ineffective; nominal
- B. Totally ineffective; floating
- C. More effective; floating
- D. More effective; real

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Correct Option: C

Page Number(s): 100

Ref Sentence by VU Stars: Under floating rates, monetary policy is very effective at changing output.

Q#22 As risk premium increases, interest rate -----, money demand decreases and LM* curve shifts-----.

Options:

- A. Decrease; leftward.
- B. Increases; rightward.
- C. Increase; leftward.
- D. Decrease; rightward.

Correct Option: B

Page Number(s): 101

Ref Sentence by VU Stars: LM* shifts right, because $\uparrow \theta \Rightarrow \uparrow r \Rightarrow \downarrow (M/P)_d$, So Y must rise to restore money market equilibrium.

Q#23 IS curve is -----

Options:

- A. Negatively sloped.
- B. Horizontal.
- C. Positively sloped.
- D. Vertical.

Correct Option: A

Page Number(s): 83

Ref Sentence by VU Stars: IS CURVE'S SLOPE: The IS curve is negatively sloped.

Q#24 Which of the following is an example of fiscal policy that will increase aggregate demand?

Options:

- A. A cut in discount rate.
- B. A cut in government expenditure.
- C. A tax cut.
- D. An increase in discount rate.

Correct Option: C

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Page Number(s): 88

Ref Sentence by VU Stars: A TAX CUT... Because consumers save $(1-MPC)$ of the tax cut, the initial boost in spending is smaller... so the effects on r and Y are smaller for a ΔT than for an equal ΔG . (A tax cut increases consumption, thus increasing aggregate demand).

Q#25 If marginal propensity to consume (MPC) is 0.7, the government purchases multiplier is-----

Options:

- A. $1/0.7$.
- B. $1-0.7/-0.7$.
- C. $1/0.3$.
- D. $0.7/0.7$.

Correct Option: C

Page Number(s): 81

Ref Sentence by VU Stars: THE GOVERNMENT PURCHASES MULTIPLIER... $\Delta Y/\Delta G = 1 / (1 - MPC)$.
If $MPC = 0.8$, $\Delta Y/\Delta G = 1 / 0.2 = 5$. Therefore, if $MPC = 0.7$, multiplier = $1/(1 - 0.7) = 1/0.3$.

Q#26 John Maynard Keynes presented a simple theory in which the interest rate is determined by:

Options:

- A. Money demand and rate of interest.
- B. Real balances and aggregate demand.
- C. Money supply and rate of interest.
- D. Money supply and money demand.

Correct Option: D

Page Number(s): 84

Ref Sentence by VU Stars: THE THEORY OF LIQUIDITY PREFERENCE: John Maynard Keynes presented a simple theory in which the interest rate is determined by money supply and money demand.

Q#27 The policy actions aimed to reduce the severity of ----- economic fluctuations is known as-----

Options:

- A. Long run; Monetary policy.
- B. Short run; Fiscal policy.
- C. Short run; Stabilization policy.

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D. Long run; Trade policy.

Correct Option: C

Page Number(s): 76

Ref Sentence by VU Stars: STABILIZATION POLICY: Policy actions aimed at reducing the severity of short-run economic fluctuations.

Q#28 When real exchange rate rises, exports will-----and imports will -----

Options:

- A. Decrease; decrease.
- B. Decrease; increase.
- C. Increase; decrease.
- D. Increase; Increase.

Correct Option: B

Page Number(s): 42

Ref Sentence by VU Stars: $\uparrow \varepsilon \Rightarrow$ US goods become more expensive relative to foreign goods $\Rightarrow \downarrow EX$,
 $\uparrow IM \Rightarrow \downarrow NX$

Q#29 People base their expectations of future inflation on recently observed inflation is known as:

Options:

- A. Adaptive expectations.
- B. Negative expectations.
- C. Expectations.
- D. Rational expectations.

Correct Option: A

Page Number(s): 110

Ref Sentence by VU Stars: ADAPTIVE EXPECTATIONS: an approach that assumes people form their expectations of future inflation based on recently observed inflation.

Q#30 When tax decreases then the disposable income (Y_d) -----and consumption-----

Options:

- A. Decreases; decreases
- B. Increases; decrease
- C. Decreases; increases

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D. Increases; increases

Correct Option: D

Page Number(s): 22

Ref Sentence by VU Stars: CONSUMPTION: Disposable income is total income minus total taxes: $Y - T$.
Keynesian Consumption function can be written as: $C = C(Y - T)$. It shows that $\uparrow(Y - T) \Rightarrow \uparrow C$.

Q#31 Currency exchange rate which is determined by free market forces is called -----

Options:

- A. Exchange rate.
- B. Pegged exchange rate.
- C. Fixed exchange rate.
- D. Floating exchange rate.

Correct Option: D

Page Number(s): 97

Ref Sentence by VU Stars: In a system of floating exchange rates, e is allowed to fluctuate in response to changing economic conditions.

Q#32 Which one of the following is NOT the example of adverse supply shock?

Options:

- A. Flood
- B. Discovery of reserves
- C. Heavy rain
- D. Earthquakes

Correct Option: B

Page Number(s): 76

Ref Sentence by VU Stars: Examples of adverse supply shocks: Bad weather reduces crop yields... (Flood and Heavy rain are adverse weather conditions). Discovery of reserves is a favorable supply shock.

Q#33 Nominal exchange rate is denoted by-----

Options:

- A. P .
- B. r .

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C. e.

D. E.

Correct Option: C

Page Number(s): 42

Ref Sentence by VU Stars: e = nominal exchange rate, the relative price of domestic currency in terms of foreign currency

Q#34 According to aggregate demand (AD) & aggregate supply (AS) analysis; the favorable supply shock will -----output-----inflation and increase employment.

Options:

A. Decrease; Decrease

B. Increase; Decrease

C. Decrease; Increase

D. Increase; Increase

Correct Option: B

Page Number(s): 76

Ref Sentence by VU Stars: (Favorable supply shocks lower costs and prices)... The adverse supply shock moves the economy to point B. (A favorable supply shock increases output and decreases inflation).

Q#35 Which one of the following is the reason for sticky price?

Options:

A. Location of the firm

B. Menu cost

C. Production process

D. Taste of the consumer

Correct Option: B

Page Number(s): 107

Ref Sentence by VU Stars: Reasons for sticky prices are as follows: Menu costs.

Q#36 Trade policy is -----on output under-----exchange rate.

Options:

A. More effective; real

B. More effective; real

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C. More effective; floating

D. Totally ineffective; floating

Correct Option: D

Page Number(s): 101

Ref Sentence by VU Stars: Under floating rates, import restrictions do not affect Y or NX.

Q#37 Which of the following is a true statement?

Options:

A. A negative IS shocks shifts IS curve to the left.

B. Expansionary monetary policy shifts IS curve.

C. Expansionary monetary policy increases interest rate.

D. A negative IS shocks shifts AD curve to the right.

Correct Option: A

Page Number(s): 92

Ref Sentence by VU Stars: A negative IS shock shifts IS and AD left, causing Y to fall.

Q#38 The trade-off between inflation and unemployment is called-----curve.

Options:

A. Keynes

B. Phillips

C. Fisher

D. Classical

Correct Option: B

Page Number(s): 109

Ref Sentence by VU Stars: INFLATION, UNEMPLOYMENT, AND THE PHILLIPS CURVE: The Phillips curve states that...

Q#39 Income tax bond is the example of:

Options:

A. Balanced debt.

B. Floating debt.

C. Unfunded debt.

D. Permanent debt.

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Correct Option: D

Page Number(s): 113

Ref Sentence by VU Stars: PERMANENT DEBT: Income tax Bonds

Q#40 If marginal propensity to consume (MPC) is 0.7, the government purchases multiplier is-----

Options:

- A. 0.7/0.7.
- B. 1/0.3.
- C. 1-0.7/-0.7.
- D. 1/0.7.

Correct Option: B

Page Number(s): 81

Ref Sentence by VU Stars: THE GOVERNMENT PURCHASES MULTIPLIER... $\Delta Y / \Delta G = 1 / (1 - MPC)$.

If $MPC = 0.8$, $\Delta Y / \Delta G = 1 / 0.2 = 5$. Therefore, if $MPC = 0.7$, multiplier = $1 / (1 - 0.7) = 1 / 0.3$.

Q#41 In Solow model, national income identity in per worker terms:

Options:

- A. $Y = C + I + S$
- B. $Y = C + I$
- C. $y = c + i$
- D. $Y = C + I + T$

Correct Option: C

Page Number(s): 54

Ref Sentence by VU Stars: The National Income Identity: $Y = C + I$ (remember, no G). In "per worker" terms: $y = c + i$

Q#42 According to aggregate demand (AD) & aggregate supply (AS) analysis; the favorable supply shock will -----output-----inflation and increase employment.

Options:

- A. Increase; Increase
- B. Decrease; Decrease
- C. Increase; Decrease
- D. Decrease; Increase

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Correct Option: C

Page Number(s): 76

Ref Sentence by VU Stars: (Favorable supply shocks lower costs and prices)... The adverse supply shock moves the economy to point B. (A favorable supply shock increases output and decreases inflation).

Q#43 Due to a positive demand shock, aggregate demand curve will:

Options:

- A. Shift towards right.
- B. Remain the same.
- C. Become vertical.
- D. Shift towards left.

Correct Option: A

Page Number(s): 75

Ref Sentence by VU Stars: An increase in aggregate demand, due to an increase in the velocity of money, moves the economy from point A to point B.

Q#44 In the Solow growth model with technological growth, $k = K / (L \times E)$ shows-----per effective worker.

Options:

- A. Labor
- B. Output
- C. Output & labor
- D. Capital

Correct Option: D

Page Number(s): 65

Ref Sentence by VU Stars: Notations: $k = K/LE$ = capital per effective worker

Q#45 When tax decreases then the disposable income (Y_d) -----and consumption-----

Options:

- A. Increases; increases
- B. Increases; decrease
- C. Decreases; increases
- D. Decreases; decreases

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Correct Option: A

Page Number(s): 22

Ref Sentence by VU Stars: CONSUMPTION: Disposable income is total income minus total taxes: $Y - T$.

Keynesian Consumption function can be written as: $C = C(Y - T)$. It shows that $\uparrow(Y - T) \Rightarrow \uparrow C$.

Q#46 In the steady state -----does not change because investment equal to-----

Options:

- A. Capital; saving.
- B. Capital; depreciation.
- C. Investment; saving.
- D. Investment; consumption.

Correct Option: B

Page Number(s): 55

Ref Sentence by VU Stars: If investment is just enough to cover depreciation, [$sf(k) = \delta k$], then capital per worker will remain constant: $\Delta k = 0$. This constant value, denoted k^* , is called the steady state capital stock.

Q#47 Investment causes the capital stock to rise while ----- causes capital stock to fall.

Options:

- A. Depreciation
- B. Deflation
- C. Inflation
- D. Discount rate

Correct Option: A

Page Number(s): 55

Ref Sentence by VU Stars: Investment makes the capital stock bigger, depreciation makes it smaller.

Change in capital stock = investment – depreciation

Q#48 IS curve is -----

Options:

- A. Horizontal.
- B. Vertical.
- C. Positively sloped.
- D. Negatively sloped.

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Correct Option: D

Page Number(s): 83

Ref Sentence by VU Stars: IS CURVE'S SLOPE: The IS curve is negatively sloped.

Q#49 An expansionary monetary policy shifts -----to the-----

Options:

A. LM curve; right.

B. LM curve; left.

C. IS curve; right.

D.IS curve; left.

Correct Option: A

Page Number(s): 88

Ref Sentence by VU Stars: MONETARY POLICY: AN INCREASE IN M: 1. $\Delta M > 0$ shifts the LM curve down (or to the right).

Q#50 The two important factors of production are-----

Options:

A. Labor and capital.

B. Machine and investment.

C. Labor and electricity.

D. Land and goods.

Correct Option: A

Page Number(s): 18

Ref Sentence by VU Stars: FACTORS OF PRODUCTION: K = capital, tools, machines, and structures used in production; L = labor, the physical and mental efforts of workers

Q#51 If government decreases the tax it would -----income and ----- the consumption.

Options:

A. Decrease, increase

B. Increase, decrease

C. Decrease, decrease

D. Increase, increase

Correct Option: D

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Page Number(s): 22

Ref Sentence by VU Stars: CONSUMPTION: Disposable income is total income minus total taxes: $Y - T$.
Keynesian Consumption function can be written as: $C = C(Y - T)$. It shows that $\uparrow(Y - T) \Rightarrow \uparrow C$.

Q#52 When tax increases then disposable income (Y_d) -----and consumption-----

Options:

- A. Increases; increases
- B. Increases; decreases.
- C. Decreases; decreases.
- D. Decreases; increases

Correct Option: C

Page Number(s): 22

Ref Sentence by VU Stars: CONSUMPTION: Disposable income is total income minus total taxes: $Y - T$.
Keynesian Consumption function can be written as: $C = C(Y - T)$. It shows that $\uparrow(Y - T) \Rightarrow \uparrow C$. Therefore
if T increases, Y_d decreases and C decreases.

Q#53 Change in capital stock is equal to----- minus depreciation.

Options:

- A. Saving
- B. National saving
- C. Stock
- D. Investment

Correct Option: D

Page Number(s): 55

Ref Sentence by VU Stars: Change in capital stock= investment – depreciation

**Q#54 The sticky wage model of the aggregate supply says that when the ----- less than expected price,
the real wage raises so employment -----**

Options:

- A. Expected price level; rises.
- B. Price level; falls.
- C. Price level; rises.
- D. Expected price level; falls.

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Correct Option: B

Page Number(s): 105

Ref Sentence by VU Stars: If $P < P_e$ Real wage exceeds its target, so firms hire fewer workers and output falls below its natural rate

Q#55 In the -----model, capital exhibits diminishing returns. In a basic ----- model, capital exhibits constant returns.

Options:

- A. Endogenous growth; Solow growth
- B. Solow growth; endogenous growth
- C. Solow growth; Population growth
- D. Population growth; Endogenous growth

Correct Option: B

Page Number(s): 69

Ref Sentence by VU Stars: Key difference between this model & Solow model is that MPK is constant here while diminishes in Solow model. (Endogenous growth model has constant returns, Solow has diminishing returns)

Q#56 Keynes consumption function is -----.

Options:

- A. $C = a - cY_d$
- B. $C = a + cY_d$
- C. $C = a - c(Y_d - Y)$
- D. $C = a + cY(Y - T)$

Correct Option: B

Page Number(s): 120

Ref Sentence by VU Stars: THE CONSUMPTION FUNCTION: $C = C + cY$ (where Y is income/disposable income). This is typically written as $C = a + cY_d$.

Q#57 In the Mundell Fleming model, LM* curve equation is-----

Options:

- A. $M/P = L(r^* + Y)$.
- B. $M/P = L + (r^* + Y)$.

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C. $M/P = L(r^* - Y)$.

D. $M/P = L(r, Y)$

Correct Option: D

Page Number(s): 96

Ref Sentence by VU Stars: The LM curve equation is: $M/P = L(r^*, Y)$

Q#58 Nominal wage = target real wage multiply by-----

Options:

A. Labor.

B. Quantity.

C. Price.

D. Expected price level.

Correct Option: D

Page Number(s): 105

Ref Sentence by VU Stars: The nominal wage, W , they set is the product of a target real wage, ω , and the expected price level: $W = \omega \times P^e$

Q#59 A graph of all combinations of income (Y) and interest rate (r) that results in goods market equilibrium is called:

Options:

A. Money demand curve

B. LM curve

C. IS curve

D. Money supply curve

Correct Option: C

Page Number(s): 82

Ref Sentence by VU Stars: IS CURVE: A graph of all combinations of r and Y that result in goods market equilibrium is called IS curve

Q#60 Due to decrease in money supply, aggregate demand curve will:

Options:

A. Become vertical.

B. Shift towards right.

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C. Remain the same.

D. Shift towards left

Correct Option: D

Page Number(s): 91

Ref Sentence by VU Stars: $P \Rightarrow \downarrow(M/P) \Rightarrow LM \text{ shifts left} \Rightarrow r \Rightarrow \downarrow I \Rightarrow \downarrow Y$. A decrease in money supply reduces aggregate demand, shifting AD curve left.

Q#61 In macro-economics the word aggregate means-----

Options:

A. Individual.

B. One.

C. Totals.

D. Particular.

Correct Option: C

Page Number(s): Not found in Handout

Correct Option: C (Google)

Q#62 In the solow model with technological progress, the steady state growth rate of output per worker is -----

Options:

A. $n + g$.

B. G .

C. Zero.

D. One.

Correct Option: B

Page Number(s): 65

Ref Sentence by VU Stars: Variable...Output per worker $(Y/L) = y \times E$...Steady-Steady growth rate...G

Q#63 If labor productivity per week is 100 units and there are 5 employees. What is the total output?

Options:

A. 100 units

B. 105 units

C. 500 units

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D. 20 units

Correct Option: C

Page Number(s): Not found in Handout

Correct Option: C (Google)

Q#64 Investment causes the capital stock to----- while depreciation causes capital stock to -----

Options:

A. Fall; rise.

B. Rise; rise.

C. Fall; fall.

D. Rise; fall.

Correct Option: D

Page Number(s): 55

Ref Sentence by VU Stars: Investment makes the capital stock bigger, depreciation makes it smaller.

Q#65 The shape of short run aggregate supply curve (SRAS) is -----

Options:

A. Convex to the origin.

B. Concave to the origin.

C. Horizontal.

D. Vertical.

Correct Option: C

Page Number(s): 73

Ref Sentence by VU Stars: The SRAS curve is horizontal: The price level is fixed at a predetermined level, and firms sell as much as buyers demand.

Q#66 Suppose the price of product "X" increases due to increase in price of raw material. This is the example of -----

Options:

A. Hyperinflation.

B. Demand pull inflation.

C. Cost push inflation.

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D. Disinflation.

Correct Option: C

Page Number(s): 111

Ref Sentence by VU Stars: Cost-push inflation: inflation resulting from supply shocks. Adverse supply shocks typically raise production costs and induce firms to raise prices, “pushing” inflation up.

Q#67 The policy actions aimed to reduce the severity of ----- economic fluctuations is known as-----

Options:

- A. Long run; Trade policy.
- B. Short run; Stabilization policy.
- C. Short run; Fiscal policy.
- D. Long run; Monetary policy.

Correct Option: B

Page Number(s): 76

Ref Sentence by VU Stars: STABILIZATION POLICY: Policy actions aimed at reducing the severity of short-run economic fluctuations.

Q#68 In the Solow model with technological progress, the steady state growth rate of capital per effective worker is -----

Options:

- A. $n + g$.
- B. Zero.
- C. One.
- D. $n - g$.

Correct Option: B

Page Number(s): 65

Ref Sentence by VU Stars: Variable...Capital per effective worker $k = K / (L \times E)$...Steady-Steady growth rate...0

Q#69 Currency exchange rate which is determined by free market forces is called -----

Options:

- A. Exchange rate.

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B. Floating exchange rate.

C. Pegged exchange rate.

D. Fixed exchange rate.

Correct Option: B

Page Number(s): 97

Ref Sentence by VU Stars: In a system of floating exchange rates, e is allowed to fluctuate in response to changing economic conditions.



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